

Interoffice Memorandum

TO: Larry Smarr, President, Lone Star Construction, Inc.

FROM: Roman Segal PLLC

DATE: September 20, 2025

RE: Report on Potential Claim Against Titus Steel

Executive Summary

This memorandum provides an initial assessment of Lone Starr Construction's potential claims against Titus Steel regarding non-conforming steel rods and plates. To inform our evaluation, I reviewed the litigation file from Bemex International, LLC v. Titus Steel Co., Inc. (2015), a prior case in the Western District of Texas involving similar disputes over steel quality.

The Bemex case illustrates the factual and legal landscape we may encounter breach of contract over non-conforming steel, allegations of fraud and misrepresentation, and claims under the Texas Deceptive Trade Practices Act (DTPA). Titus mounted jurisdictional challenges and defended itself by invoking ASTM industry standards. The matter was settled confidentially.

For Lone Starr, potential claims include breach of contract, warranty violations, fraud, negligent misrepresentation, and DTPA violations. Key risks include jurisdictional challenges, reliance issues, and Titus's defense that its steel conformed to ASTM tolerances. Before proceeding, we must gather documentation, confirm specifications, and consult outside counsel regarding forum strategy.

I. Factual Background of the Bemex Dispute

In 2015, Bemex International, a San Antonio steel distributor, contracted with Titus Steel for 170 steel plates required to meet a minimum thickness of 0.189 inches for delivery to Bemex's Mexican customer, FADIMA.

(Bemex Case File (LAWC) - Part 1)

- **Representations:** Titus assured Bemex that the steel would comply.
- **Non-conformance:** Upon delivery, FADIMA rejected the plates. Independent testing confirmed thicknesses ranged 0.177–0.184 inches below the specified minimum.

Bemex Case File (LAWC) - Part 1

- **Mitigation Efforts:** Bemex attempted resale but failed.
- **Demands:** Bemex demanded return/reimbursement (\$42,763.50 purchase plus \$13,489.63 related costs). Titus refused.

(Bemex Case File (LAWC) - Part 1)

Claims Filed by Bemex

Bemex sued Titus, alleging:

1. **Breach of contract**—failure to deliver conforming goods.
2. **Fraud / Fraudulent Inducement**—false assurances of compliance.
3. **Negligent Misrepresentation**—assurances without verification.
4. **DTPA Violations**—misleading representations about product quality.
5. **Exemplary Damages**—intentional and malicious conduct.

(Bemex Case File (LAWC) - Part 1)

Bemex sought \$225,012.52 (actual + treble damages) plus attorney's fees.

II. Procedural History of Bemex

1. Jurisdiction and Venue Challenges

Titus, a Canadian corporation, moved to dismiss for lack of personal jurisdiction and improper venue under FRCP 12(b)(2) and (3)

(Bemex Case File (LAWC) - Part 2 Titus argued:)

- It had no Texas office, employees, or agents.
- Deliveries occurred in Georgia, not Texas.
- Payments were wired to Canada.
- Its website was passive and not directed at Texas customers.

Bemex countered Titus made misrepresentations directed into Texas and that the contract was to be performed partly in Texas.

2. Titus's Substantive Defenses

- **ASTM Standards:** Titus argued that steel thickness cannot be guaranteed at 0.189 inches. The steel delivered fell within ASTM specifications.

(Bemex Case File (LAWC) - Part 2)

- **Customer Agreement:** Titus claimed Bemex's agent agreed ASTM compliance was acceptable.
- **Disclosure:** Titus cited emails and invoices showing steel labeled as **.188" AR500** before delivery.
- **Reliance:** Titus argued Bemex failed to secure its own customer's acceptance of ASTM standards.

3. Plaintiff's Response and Defendant's Reply

- Bemex stressed Titus's explicit promises of 0.189" compliance.
- Titus replied Bemex ignored prior warnings and agreed to ASTM tolerances. Titus contended Bemex only relied on its own purchase order, not on fraudulent misrepresentations.

(Bemex Case File (LAWC) - Part 3)

4. Resolution

The record shows no trial or judgment. The case ended in a **confidential settlement**, likely to contain a non-disclosure clause.

III. Potential Claims for Lone Starr Construction

Drawing from Bemex's pleadings and our facts, Lone Starr could assert:

1. Breach of Contract

- Titus failed to deliver rods and plates meeting the specified lengths and widths.
- Remedies: refund, damages, consequential project losses.

2. Warranty Claims (UCC)

- **Express Warranty:** Titus's specifications or assurances formed part of the bargain.
- **Implied Warranty of Merchantability/Fitness:** Steel was not fit for commercial construction.

3. Texas DTPA Claims

- Titus misrepresented product characteristics (§17.46(b)(5), (7)).
- Potential recovery: actual damages, treble damage where conduct was known, plus attorney's fees.

(Bemex Case File (LAWC) - Part 1)

4. Fraud / Fraudulent Inducement

- If Titus knowingly promised compliance without verifying, this could support punitive damages.

5. Negligent Misrepresentation

- Even absent intent, providing assurances without checking conformity is actionable.

IV. Risks and Lessons from Bemex

1. Jurisdictional Challenges

- Titus successfully contested Texas's authority in 2015, arguing all contacts were Canadian/Georgian.
- If Lone Starr sues in Texas, Titus may again seek dismissal, forcing litigation in Georgia or Canada.

2. Industry Standard Defense

- Titus relied heavily on **ASTM tolerance ranges** as a shield.
- Unless Lone Starr's contracts specify tolerances beyond ASTM norms, Titus may argue its steel was conforming.

3. Proof of Reliance

- Fraud and misrepresentation require showing that we relied on Titus's assurances.
- Bemex struggled because Titus disclosed ASTM limits and labeled the steel as ".188 AR500."

4. Mitigation Obligations

- Plaintiffs must attempt resales or alternative use of defective goods.
- Lone Starr should document efforts to repurpose, resell, or otherwise mitigate losses.

5. Litigation Costs and Settlement Pressure

- Bemex's case suggests Titus fights aggressively on authority and standards, driving up costs.
- Prolonged litigation may encourage settlement, but the terms could include confidentiality.

Conclusion and Recommendations

The **Bemex v. Titus Steel** case offers Lone Starr a roadmap of potential claims and defenses. Lone Starr has valid claims for breach of contract, warranty, misrepresentation, and DTPA violations. However, risks are significant, particularly around authority, reliance, and ASTM standards.

Recommendations:

1. **Gather documentation:** All purchase orders, emails, and invoices with Titus.

2. **Technical review:** Engineering confirmation that rods/plates are unusable under our specifications.
3. **Mitigation record:** Efforts to resell or reuse steel.
4. **Forum strategy:** Consult outside counsel on whether Texas courts will assert jurisdiction or whether to prepare for Georgia/Canadian litigation.
5. **Pre-suit negotiations:** Consider a letter of demand under the DTPA (as Bemex did) before suing.

With careful preparation, Lone Starr can avoid mistakes made by Bemex and position itself for a stronger outcome.